

WHEN BORING BECAME BEAUTIFUL

The transformation didn't happen because mutual funds became exciting. It happened because they became boring in exactly the right way. The infrastructure arrived. UPI made payments effortless, e-mandates made SIPs automatic, and regulations made costs transparent. The rails removed friction, and friction was often the only thing standing between good intentions and actual wealth building.

But infrastructure alone doesn't explain the shift. What changed was something more fundamental: Indians discovered that the market rewards process, not performance-chasing. The loud stuff—the themes that burn bright and fade, the tips that promise quick riches, the stocks that everyone is talking about—mostly make headlines, not wealth.

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Consider what happened during the initial Covid crash. In March 2020, when the world seemed to be coming to an end, two groups of investors emerged. The first group panicked, stopped their SIPs, moved money to fixed deposits, and waited for clarity. The second group, often with a dry-mouth nervousness that could have been mistaken for a Covid symptom, kept their SIPs running. Some even increased them, not because they were confident about the future, but because their plan instructed them



WHEN YOU INVEST IN A BROADLY DIVERSIFIED EQUITY FUND, YOU'RE BUYING A CLAIM ON THE PRODUCTIVE CAPACITY OF INDIAN BUSINESSES

to buy when things were cheap, and things were undeniably cheap. The SIP stoppage ratio (number of SIP discontinued/new SIPs registered) touched a high of 81% in May 2020 before dipping slowly over the next few months to 55% by December 2020 as markets stabilised.

The difference in outcomes over the next three years was staggering (see Lesson No. 1: *Don't Stop SIPs*). Yet here's the uncomfortable truth: the investors who did better weren't smarter or braver. They were simply more committed to their process than to their feelings. This is the essence of what has changed in Indian investing. The question is no longer whether mutual funds work—the evidence is overwhelming that they do for patient investors. The question is whether investors can stay patient long enough for the process to work.

BULL MARKET GURUS RETURN

Every bull market produces the same phenomenon. Suddenly, everyone has discovered the secret to wealth creation. The random person who bought a few stocks last year is now dispensing investment wisdom. The neighbour who stumbled upon a multibagger is distributing daily *gyan* about market dynamics. Worst of all, people with barely two years of market experience are confidently educating others about long-term investing.

This isn't new. Warren Buffett's farm analogy, outlined in his 2013 shareholder letter, captures this perfectly. When he bought that Nebraska farm, he knew nothing about farming. But he understood something more important: what the asset would produce. He calculated expected returns based on corn and soybean production, taking into account improvements in productivity and prices over time. Whether the economy or stock market rose or fell in the following years was irrelevant to the investment's success.

The parallel to mutual funds is exact. When you invest in a broadly diversified equity fund, you're buying a claim on the productive capacity of Indian businesses. Whether the Sensex is at 70,000 or 90,000 next year matters far less than whether Indian companies continue to grow their earnings over the next decade. The evidence suggests they will, because the tailwinds remain intact: formalisation, rising